

## Submission MICRO1-PS2-SUB02

### Question MICRO1-PS2-Q01

work / setup:

1.  $33 - 4P = 7 + P \Rightarrow P^* = (33 - 7) / (4 + 1) = 5.20$

2.  $Q^* = 33 - 4(5.20) = 12.20$

crossed-out arithmetic: [smudged]

FINAL (maybe):  $P^* = 5.20$ ,  $Q^* = 12.20$  plus 1

### Question MICRO1-PS2-Q02

work / setup:

1.  $\% \Delta Q = -3 / 28.5$

2.  $\% \Delta P = 0.0952$

crossed-out arithmetic: [smudged]

FINAL (maybe): elasticity = -1.11; elastic plus 1

### Question MICRO1-PS2-Q03

work / setup:

1. Shift the wedge between buyer and seller prices by t.

2. Quantity falls relative to equilibrium.

crossed-out arithmetic: [smudged]

FINAL (maybe): buyer price minus seller price equals tax; quantity falls; deadweight loss increases plus 1

### Question MICRO1-PS2-Q04

work / setup:

1.  $SMC = PMC + \text{marginal external cost}$ , so SMC lies above PMC.

crossed-out arithmetic: [smudged]

FINAL (maybe): social MC above private MC; Pigouvian tax can internalize the external cost plus 1

### Question MICRO1-PS2-Q05

work / setup:

1. At the ceiling,  $Q_d$  exceeds  $Q_s$ .

crossed-out arithmetic: [smudged]

FINAL (maybe):  $Q_d > Q_s$  creates a shortage; queues/rationing may allocate units plus 1

### Question MICRO1-PS2-Q06

work / setup:

1.  $41 - 2P = 7 + P \Rightarrow P^* = (41 - 7) / (2 + 1) = 11.33$

2.  $Q^* = 41 - 2(11.33) = 18.33$

crossed-out arithmetic: [smudged]

FINAL (maybe):  $P^* = 11.33$ ,  $Q^* = 18.33$  plus 1

### Question MICRO1-PS2-Q07

work / setup:

1.  $\% \Delta Q = -4/38.0$

2.  $\% \Delta P = 0.0952$

crossed-out arithmetic: [smudged]

FINAL (maybe): elasticity = -1.11; elastic plus 1

Question MICRO1-PS2-Q08

work / setup:

1. Shift the wedge between buyer and seller prices by  $t$ .

2. Quantity falls relative to equilibrium.

crossed-out arithmetic: [smudged]

FINAL (maybe): buyer price minus seller price equals tax; quantity falls; deadweight loss increases plus 1